

o Title Zheng · 0:15 · from 0:00

"We are Zheng Huang and Diego Gutiérrez."

- Case: the Netherlands, CCyB 0 → 2%
- How and why DNB did it

→ "Here is the whole talk on one slide."

1 One-pager Zheng · 0:45 · from 0:15

"The whole talk on one slide."

- DNB raised twice, to 2%; the rulebook said **zero**
- Verdict: **normalisation, not tightening**
- Cheap · largely offset · **no sign of contraction**

→ "Let's start in March 2020."

2 March 2020 Zheng · 1:30 · from 1:00

"March 2020. COVID has just hit Europe."

- Neighbours **release** buffers within days (DK, NO, SE, DE, FR, IE...)
- **DEF** buffer = extra equity above the minimum
- NL at **0%**: nothing to release, so DNB improvised
- Systemic buffers cut 3% → 2.5/2/1.5% (ING, Rabo, ABN)
- (pause) **The promise**: rebuild it as a 2% CCyB

€8bn freed · up to €200bn of lending

→ "Why does it matter *which* buffer you hold?"

3 Releasable buffer Zheng · 1:00 · from 2:30

"Not all capital is usable in a crisis."

- CCyB = the only layer that can be **switched off**
- **DEF** RWA = assets weighted by risk
- Other buffers: dipping in triggers **MDA** limits (dividends, bonuses)
- COVID: banks near thresholds **cut lending** anyway
- Key idea: *how much* the authority can hand back

0–2.5% of RWA · up = 12 months · release = immediate

→ "Fast-forward to 2022, and look at the timing."

4 The question

Zheng · 1:00 · from 3:30

"DNB keeps its promise, but look at the timing."

- War · energy · inflation · ECB hikes · housing turning
- Basel indicator says **zero**
- **DEF** procyclical = amplifies the cycle
- **"Was this the wrong moment?"**
- Three acts = the three assignment questions

inflation 11.6% · gap -33 / -47pp

→ "First, the setting: the timeline."

5 Timeline

Zheng · 1:00 · from 4:30

"The path was announced in March 2020."

- Feb 2022: new framework
- May 2022: **1%** · May 2023: **2%** + O-SII cuts
- Both bind **31 May 2024**; held at 2% ever since
- Point to the **gold band**: both decisions inside ECB hiking

last confirmed: Sep 2026, still 2%

→ "What did the economy look like?"

6 Macro

Zheng · 1:05 · from 5:30

"The recovery was complete."

- GDP above pre-COVID by **2021Q3**, $\approx +3\%$ by end-2021
- Then the storm: DNB quote, "outlook has worsened"
- Arguments **both ways**: build now vs wait
- Debt-sustainability warning

HICP 11.6% (2022) · ECB +50bp, 21 Jul 2022

→ "In the financial system, the picture was split."

7 Credit & housing

Zheng · 1:15 · from 6:35

"Housing was hot, credit was cold."

- House prices: DNB itself said "**overheated**"
- ...then fell about 9% real within a year
- Household debt high, but **falling**
- **DEF** debt-service ratio, **lowest since 2005**
- Boom in house prices, **not** in credit

+19% y/y (22Q1) · 16% above 2007 peak · 107% vs 58% of GDP

→ "Who would carry the losses? The banks."

8 Banks

Zheng · 1:05 · from 7:50

"The banks were in good shape."

- **DEF** CET1 = core equity / RWA
- Stress test: -3.8pp, still above minimum
- Rising rates **lifted profits** (remember this, it's the twist)
- Summary: **against** vs **for** raising now

CET1 17.7% → 16.3% · NII +6.7%

→ **HAND-OVER:** "That was the setting. Diego will show what DNB looked at, and what it was insuring against."

9 Basel rule

Diego · 1:15 · from 8:55

"The rule DNB chose not to follow."

- **DEF** credit-to-GDP gap = distance from long-run trend (HP filter)
- Rule: < 2pp → 0% · > 10pp → max
- **Missed** the GFC · **false alarm** 2012 · **rewritten** 2016
- Why: structural deepening, 47% → 350% of GDP; the filter calls it "trend"

-13pp (2007) · +17pp (2012) · -0.6 vs +27pp (2016) · -33 / -47pp at the decisions

→ "So DNB used a different compass."

10 Framework

Diego · 1:15 · from 10:10

"DNB's 2022 framework has four phases."

- Recovery → **normal = 2%** → elevated > 2% → release
- **DEF** positive neutral = filled when risk is "normal"
- Calibrated on **history**
- **DEF** guided discretion = dashboard informs, doesn't dictate
- 17 jurisdictions; SE, UK, PL also 2%

€12bn losses → €6bn buffer → €150bn of lending

→ "What reasons did DNB give?"

11 DNB's reasons

Diego · 1:00 · from 11:25

"What reasons did DNB give?"

- 2022: "**restore the buffers**", recovery, risks "normal to elevated"
- 2023: gap shows "**no signs of excessive credit growth**"
- Cited: risk appetite · falling real estate · debt · robust banks
- Never credit growth: **risk picture + strong banks + the promise**

→ "So which risks was it meant to address?"

12 Risks → tools Diego · 1:15 · from 12:25

"Each risk was matched to a tool."

- **Unforeseeable shocks** → CCyB (war, energy, tightening, SVB/CS)
- **Housing** → LTV/LTI limits, tax, risk-weight floor
- **Big-bank size** → O-SII buffer
- **DEF** Tinbergen = one instrument per target
- DNB: "sensitivity ... to external events"

→ "Now we can test our two suspects."

14 Swap Diego · 1:15 · from 15:10

"What that last row means in euros."

- -6.0 (2020) · +3.3 · +3.4 · -2.7 (2024)
- Net vs pre-COVID $\approx$ **-2.0**, roughly unchanged
- DNB: "more or less capital-**neutral**" · Knot: "**limited** increase"
- Caveats: different bases; vs 2021 = an increase
- Capital **moved**, not added (the UK did the same)

→ "But a swap still has a cost. Was it the wrong moment?"

13 Verdict ★ Diego · 1:30 · from 13:40

"Overheating or normalising? Row by row."

- Indicators **falling**, buffer up ✓
- +1pp a year, stop at 2 ✓
- 2023 prices falling: **raised anyway** ✓
- 2024–26 prices up ~10%: **held at 2** ✓
- Structural buffers **cut twice** ✓
- (pause) "Five for five."
- Counter-evidence: housing +19%, but DNB used other tools

→ "That last row is the key to the whole story."

15 Twist ★ Diego · 1:15 · from 16:25

*"The storm made it the **cheapest** moment."*

- **DEF** headroom = capital above requirements
- 2% buffer $\leq$ **a fifth** of headroom (upper bound)
- Rates $\uparrow$ → profits $\uparrow$ → buffer from **retained earnings**
- ECB: gradual + profitable "limits costs"; during tightening "mitigates costs"
- **"Not the wrong moment. Arguably the right one."**

€36bn headroom · €6.7bn = 19% · ING, Rabo > €10bn each

→ "Cheap for banks, but did borrowers pay?"

16 Borrowers

Diego · 1:15 · from 17:40

"Did borrowers pay?"

- **DEF** event study, NL vs non-changers, around 3 dates
- **DEF** placebo, each control as "fake treated" = grey band
- Rates **inside the band** · household credit grew **faster**
- Honest: NL lagged before (catch-up)
- Claim: "**no sign of contraction**", not causal

credit 2022–26: +16.6% vs +7.9% (before: +4.3% vs +11.3%)

→ **HAND-OVER**: "Cheap, and credit kept flowing. But a buffer reaches beyond Dutch banks. Zheng."

18 Across borders Zheng · 1:00 · from 20:00

"Second, borders."

- **DEF** reciprocity = foreign banks hold the Dutch 2% too
- Limits leakage; non-bank leakage remains
- Europe moving the same way
- NL = highest neutral rate in the banking union (2023)

DE 0.75 · FR 1 · IE 1.5 · BE 1 · PT 0.75 · ES 1 (%)

→ "Third: what the Netherlands gained."

17 Monetary policy

Zheng · 1:05 · from 18:55

"First wider implication: monetary policy."

- Worry: **double squeeze** (ECB + DNB)
- Rates didn't diverge; profits rose
- ECB: early buffers let monetary policy "focus on price stability"
- **DEF** macroprudential = stability of the whole system
- One ECB rate, **national** buffer = the Dutch lever + insurance

→ "Second: borders."

19 Resilience

Zheng · 1:00 · from 21:00

"What the Netherlands gained."

- Releasable by design: **€0** → **€6.7bn**, $\approx$ half of past peak losses
- Asymmetry: cheap to hold, powerful to release
- Floor expires **30 Nov 2026**: the CCyB matters more

up to €150bn lending · -0.1% vs up to +10%

→ "Fourth: it's not a clean win."

20 Critiques

Zheng · 1:00 · from 22:00

"This is not a clean win."

- **Credibility:** discretion must be explained, every quarter
- **Calibration:** why 2%? ECB says 1.1–1.8%
- **Untested:** lend or hoard?
- **Baseline:** vs 2021 it was an increase
- **Profits:** excess-profit levy competed for the same money

→ "Let me answer the three questions."

21 Conclusion

Zheng · 1:30 · from 23:00

"Three answers."

- **Environment:** recovery in a storm · credit cold · strong banks
- **Criteria:** 2% normal level · past losses · any shock
- **Implications:** cheap · swap · no contraction · €6.7bn
- Not *how much* capital, but *which kind*
- (pause) "...nothing to release. **Next time, it will.**"
- "Fill a buffer when nobody thinks you need it, even in a storm."

→ "Thank you; we look forward to your questions."

22 Q&A backup

both · open · from 24:30

Methods slide stays up during questions.

- One speaker per question, about 45 seconds
- Default: Zheng answers policy, Diego answers econometrics
- Unknown? "We haven't measured that; our evidence is..."
- Always "**no sign of contraction**", never "no effect"
- Concede housing and the 2021 baseline first, then explain